

Global pushback won't substantially slow China's export growth

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Beijing may settle individual trade disputes but will resist demands to change its industrial strategy.

International pushback is more likely to constrain some industries than broadly restrict market access. At the 31 August–1 September G20 finance meeting, every member present, except China, backed Treasury Secretary Scott Bessent's call to address China's growing manufacturing trade surpluses—yet no country other than the US has imposed broad barriers; most have focused on sectoral or targeted measures.

China's manufacturing exports and industrial policy will sustain concerns abroad. Manufacturing exports have outpaced manufacturing imports, pushing China's annual manufacturing surplus above \$2 trillion. Chinese suppliers are also gaining global export share across strategic industries. Foreign manufacturers face Chinese competition at home and in third markets, while Beijing's self-reliance policies encourage domestic sourcing. These trends fuel the narrative of a China Shock 2.0, especially in Europe.

Economies with widening China trade deficits are not equally concerned. The economies with the largest deteriorations in their trade balances with China since 2023 are the EU, Malaysia, Vietnam, Thailand, India, Saudi Arabia, and the UAE. For Southeast Asian economies—especially Vietnam—China provides the intermediate goods needed to supply their expanding export-oriented manufacturing sectors. For Saudi Arabia and the UAE, reduced energy exports due to the Hormuz crisis pose an economic challenge, but they have no intention of competing with Chinese manufacturing. India's manufacturing ambitions make its widening deficit more contentious, though it depends on Chinese inputs. In Europe, stronger pressure for broad industrial protection is building than in many other major markets.

Europe's October talks with China are the nearest-term flashpoint for broader protectionist pressure. In her 16 September State of the Union address, Ursula von der Leyen said a second China shock was already damaging European industry and pledged to use all available tools to defend it. Brussels wants initial action on market access for cars, medical devices, and agricultural products (see: Trade confrontation will escalate despite managed pause , 2 July 2026). But the EU's main new instrument, which would enable fast, sector-wide tariffs, akin to the US Section 301, will probably not be available before 2028. Until then, Brussels will rely on targeted actions such as July's steel safeguards and tighter procurement and state-aid rules. Beijing would likely retaliate against broader measures, including by restricting rare earth exports.

Washington is fighting with its partners rather than organizing pressure on China. Coordination with the EU is unlikely while Washington fights Brussels over digital rules, and Canada is courting Beijing instead (see: Trade war likely to continue through US midterms , 27 August 2026). Trump prefers bilateral deals, and the Busan truce and his wariness of China's mineral chokehold make further escalation unlikely, beyond replacing tariffs the Supreme Court struck down with new ones (see: Summit will yield only a limited trade truce extension , 10 September 2026). The exception is rules of origin, where Washington is making progress by pressing Mexico to limit non-North American content in AI hardware under the USMCA review, part of a broader push to close off Chinese transshipment through third countries (see: Mexico and Vietnam likely first targets in US transshipment crackdown , 9 September 2026).

Beijing will defend its industrial strategy while addressing only particular trade disputes. Beijing has shown no willingness to change its industrial or macro policies under outside pressure, denying that its export surplus reflects industrial policy, the exchange rate, or excess capacity. At a national manufacturing conference on 17 September, Xi Jinping called for China to make advanced manufacturing bigger and stronger and tighten control of supply chains. However, Beijing does make tactical concessions, such as EV price undertakings and agreements sparing some EU brandy producers from Chinese duties (see: China's chokepoint leverage goes beyond critical minerals , 30 June 2026).

China's export growth is more likely to be constrained by global demand than a broad pushback. Few countries would risk a major trade confrontation with China, and, apart from Mexico, manufacturing hubs are likely to resist enforceable US limits on Chinese inputs. Without US leadership, a formal trade coalition against China is very unlikely. For now, competing interests favor selective market-access losses, higher costs, and some production relocation, at most. China has already absorbed the 2025 US tariff shock, which caused a redirection of \$105 billion in US-bound exports. Other markets absorbed roughly \$70 billion of those categories. Meanwhile, Chinese overseas factories help Chinese firms skirt trade barriers and maintain demand for Chinese inputs. These adjustments can hurt export growth without forcing Beijing to abandon its industrial priorities (see: Managed decoupling will define US-China relations through 2031 , 27 August 2026).

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